Question #1 of 76

Question ID: 1674761

A defined benefit plan *differs* from a defined contribution plan in that the:

A) benefit paid by the sponsor is defined by contributions made to the plan. ✗

B) risk/return tradeoffs of plan assets accrue to the plan sponsor. ✓

C) risk/return tradeoffs of plan assets accrue to the participant. ✗

Explanation

All investment decisions are made by the plan sponsor, and all risk/return tradeoffs accrue to the sponsor. The benefits paid by a defined benefit plan are determined by a specified benefit formula, not by what was contributed to the plan.

(Module 10.2, LOS 10.d)

Question #2 of 76

Question ID: 1674764

The liquidity requirement of a pension plan is *directly* related to and *increased* by a:

A) high proportion of retired lives. ✓

B) low proportion of retired lives. ✗

C) high proportion of active lives. ✗

Explanation

Pension plan liquidity requirements are increased by the proportion of participants currently receiving benefits. Hence, a high proportion of retired lives, those currently receiving benefits, indicates a larger liquidity requirement.

(Module 10.2, LOS 10.e)

Question #3 of 76

Question ID: 1674806

Large university endowments often have a majority asset allocation to:

A) global small-cap equities and high-yield bonds. ✗

B) alternative investments. ✓

C) commodities and managed futures.

Explanation

Given their long life and primary objective of generating high real returns, university endowments often have a majority allocation to alternative investments. Alternatives frequently are illiquid investments, with gates and lockup period. Endowments are long-term investments, which enables these funds to have large allocations to the relatively illiquid investments. Endowments typically do not have majority allocations to global small caps, high-yield bonds, commodities, and managed futures.

(Module 10.4, LOS 10.g)

Question #4 of 76

Question ID: 1674755

Which of the following approaches to asset allocation for institutional investors has the *least* exposure to alternative assets?

A) Canada Pension Plan.

B) Norway's sovereign wealth fund.

C) Yale University endowment.

Explanation

Norway's SWF model has a passively managed allocation to public equities, little or no exposure to alternative asset classes, and tight tracking error limits. The Canadian plan and the Yale model have high exposure to alternatives.

(Module 10.1, LOS 10.b)

Question #5 of 76

Question ID: 1674771

Brown Textiles has constructed its pension plan investment policy so that its pension assets have a high correlation with pension plan liabilities and a zero correlation with the firm's operations. Which of the following is the *most likely* impact of following such an investment policy?

A) There will be a positive long-run impact on firm valuation, and a more stable pension surplus.

B) The firm will have a high probability of making pension payments when its ability to fund those payments is low.

C) The firm will have a high probability of making pension payments when its ability to fund those payments is high.

Explanation

If pension plan assets are highly correlated with liabilities, it would ensure that pension plan assets increase in value at the same amount and time as the corresponding increase in value of the liabilities.

In the long run, the effect on firm valuation and the firm's constituents will be positive due to decreased volatility in fund surplus and the firm's earnings.

A zero (low) correlation between the firm's operations and its pension assets means that in times of plan underperformance, the sponsor is likely to be profitable and has a greater ability to increase plan contributions. Therefore, the firm would have a high probability of making pension payments when its ability to fund those payments is high.

(Module 10.2, LOS 10.e)

Question #6 of 76

Question ID: 1674766

Which of the following defined benefit pension plans has the *greatest* ability to accept risk?

Plan	Age of Workforce	Ratio of Active to Retired Participants	Sponsor's Debt Ratio	Sponsor's Profitability
A	Young	High	High	Low
B	Young	High	Low	High
C	Older	High	Low	High

A) Plan C.

B) Plan B.

C) Plan A.

Explanation

The younger the workforce, the longer until pension liabilities are due and the greater the ability of a plan to accept risk. This is especially true when the ratio of active to retired participants is high. Profitable plan sponsors with low debt ratios have a greater ability to absorb losses; hence, they accept more risk.

(Module 10.2, LOS 10.e)

Question #7 of 76

Question ID: 1674780

The ending of a general business cycle may indicate the last rounds of increased firm profitability. With the prospects of lower profits on the horizons, a pension fund plan sponsor may wish to take which of the following actions? Shift pension assets into those that have a:

A) low correlation with pension liabilities and low correlation with the firm's operations. ✗

B) low correlation with pension liabilities and high correlation with the firm's operations. ✗

C) high correlation with pension liabilities and low correlation with the firm's operations. ✓

Explanation

Pension assets that are highly correlated with pension liabilities and have a low correlation with the firm's operations will have a greater probability of meeting pension fund obligations and lowering contributions in the event that contributions are required during the upcoming business cycle downturn.

(Module 10.2, LOS 10.e)

Question #8 of 76

Question ID: 1674759

From the perspective of the employer, which of the following statements is *most accurate*?

A) A defined contribution plan can be underfunded; a defined benefit plan is more risky. ✗

B) A defined benefit plan can be underfunded; a defined contribution plan is more risky. ✗

C) A defined benefit plan can be underfunded; a defined contribution plan is less risky. ✓

Explanation

A defined benefit plan is underfunded when the present value of the liabilities exceeds the present value of the plan's assets. A defined contribution plan cannot become underfunded; therefore, it is considered to be less risky from the standpoint of the employer.

(Module 10.2, LOS 10.c)

Question #9 of 76

Question ID: 1674760

Which of the following is a characteristic of a defined contribution pension plan?

A) Up to a maximum limit, the Pension Benefit Guaranty Corporation (PBGC) insures plan contributions. ✗

B) Benefits are based on specific formulas relating to employee earnings or length of service. ✗

C) The investment risk of plan assets is shifted to the individual. ✓

Explanation

For defined contribution plans, investment risk is borne by the pension beneficiary. The plan sponsor, and frequently the plan participant, make "defined contributions" to the plan. The pension benefit to the participant is based on the pension fund's investment performance.

(Module 10.2, LOS 10.c)

Question #10 - 13 of 76

Question ID: 1674834

How many of the statements made by Wesley are correct?

A) Three. ✗

B) Two. ✓

C) One. ✗

Explanation

Statement 1 is correct because plan sponsors will generally prefer higher investment returns, which will reduce the amount that they need to contribute, even if that increases the total risk in the portfolio. Statement 2 is correct because, to reduce the volatility of employer cash flows or contributions to the portfolio, there must be a reduction in the volatility of returns.

While the sponsor bears the risk of the portfolio falling short of meeting its liabilities and must make additional contributions when this happens, there are extreme cases when the sponsor is unable to do so and defaults on those obligations by not contributing further to the plan. In those cases, the employee bears the ultimate risk and may need to find alternative ways to cover financial needs during retirement. Some of the risk may even be shared by taxpayers if the government decides that it is necessary to provide Social Security or welfare payments.

(Module 10.2, LOS 10.c)

Question #11 - 13 of 76

Question ID: 1674835

Which of the following statements regarding DB pension plan risk considerations is *most accurate*?

A) The lower the correlation of sponsor operating results and the returns of pension assets, the greater the risk tolerance of the DB plan. ✓

B) Smaller DB plans (relative to the size of the sponsor) generally have lower risk tolerance. ✗

C) The debt ratios of the sponsor should have no impact on the risk tolerance of the DB plan. ✗

Explanation

The lower correlation implies that, in times of plan underperformance, the sponsor is likely to be profitable and able to increase plan contributions. Just like in times of plan outperformance, the sponsor is less likely to be profitable and less able to make plan contributions.

Lower (higher) debt ratios of the sponsor increase (decrease) risk tolerance because the sponsor can tolerate more (less) volatility in contributions, should plan assets underperform.

Smaller plans (relative to the size of the sponsor) generally have *greater* risk tolerance because the sponsor can tolerate more volatility in contributions, should plan assets underperform.

(Module 10.2, LOS 10.e)

Question #12 - 13 of 76

Question ID: 1674836

Which of the statements made by Suares is *most accurate*?

A) Statement 4. ✗

B) Statement 6. ✓

C) Statement 5. ✗

Explanation

Regulators are watching capital adequacy, liquidity, and leverage more closely. They are also reducing the ability of SIFIs to pay dividends or repurchase shares, as those two means of returning money to shareholders can potentially increase the leverage of the bank.

The use of derivatives and proprietary trading has been *restricted* rather than made more flexible since the most recent financial crisis.

To force subordinated bondholders and preferred stockholders to bear more of the risk of a bank's activities, their ability to exert their claims in the event of a bankruptcy has been *reduced*.

(Module 10.5, LOS 10.d)

Question #13 - 13 of 76

Question ID: 1674837

When evaluating the IPS for a corporate DB pension plan, which of the following statements is *most accurate*?

A) DB pension funds generally establish an asset and liability management committee to oversee investment activities. ✗

B) For DB pension funds, the most important objective is to achieve a target return over a specified time horizon while assuming a level of risk that is consistent with meeting contractual obligations. ✓

C) DB pension funds generally have a perpetual investment horizon, owing to the going concern assumption. As older employees retire, new employees enter, which continually extends the life of the fund. ✗

Explanation

For DB plans, the most important objective is to achieve a target return with a specified time horizon while assuming a level of risk consistent with contractual obligations.

The asset and liability management committee is generally important for banks, not for DB pension plans. Perpetual investment horizons are more likely to occur for endowments and foundations, not DB pension plans. For example, compared to endowments and foundations, DB plans are more likely to be frozen or terminated, which is inconsistent with a perpetual investment horizon.

(Module 10.5, LOS 10.f)

Question #14 of 76

Question ID: 1674784

Which of the following would be included in an investment policy statement (IPS) for a defined contribution plan?

A) Time horizon.

B) A description of the investment alternatives available to plan participants.

C) Risk objectives.

Explanation

In a defined contribution plan, the plan sponsor does not establish objectives and constraints; rather, the plan participants set their own risk and return objectives.

(Module 10.2, LOS 10.e)

Question #15 - 18 of 76

Question ID: 1674815

Which of the proposed investment policies should Turner recommend as *most appropriate* for the Foundation?

A) IPS D.

B) IPS C.

C) IPS B.

Explanation

The plan only needs to pay out about [($18,000 × 10) / $4 million] = 4.5% for scholarships next year. However, private foundations must pay out a minimum of 5% annually, which should more than cover the scholarships and grant-making expenses. To protect purchasing power, and ensure intergenerational neutrality, the institution-specific inflation rate must also be earned. Therefore, a minimum return of (5% + 4%) = 9% is needed, or (1.05) × (1.04) – 1 = 9.2%. Should the trustees want to grow the principal in real terms, an even higher return would have to be targeted.

The 7.5% return would not cover Newsome College's expected tuition inflation. The aggressiveness of the other two portfolios is not warranted, given the return goals and the expressed risk objective of the trustees.

(Module 10.4, LOS 10.g)

Question #16 - 18 of 76

Question ID: 1674816

The trustees have decided to target a return objective of 9.5%. Given this objective, the *most appropriate* allocation to Treasury bills and large-cap equities is likely to be:

A) lower for T-bills, and the same for large-cap stocks.

B) the same for T-bills, and higher for large-cap stocks.

C) lower for T-bills, and higher for large-cap stocks.

Explanation

Lowering the T-bill allocation and raising the large-cap equity allocation will raise the expected return of the portfolio (current expected return is 7.5%). The liquidity needed for annual scholarships is only [($18,000 × 10) / $4 million] = 4.5%; therefore, a 15% allocation to cash is not warranted.

(Module 10.4, LOS 10.g)

Question #17 - 18 of 76

Question ID: 1674817

Based on a 9.5% return objective, the *most appropriate* allocation to high-yield bonds and small-cap equities is likely to be:

A) initially lower for both high-yield bonds and small-cap stocks, and then increased as the endowment increases in value because it will be able to take on more risk at that time.

B) lower for high-yield bonds, and higher for small-cap stocks.

C) the same or higher for high-yield bonds, and the same for small-cap stocks.

Explanation

Some exposure to high yields is warranted given their favorable risk/return profile versus equities. Somewhere between 5% and 10% is probably a reasonable allocation to this asset class. The existing small-cap allocation seems reasonable, given the risk/return objective of the fund. However, 15% is probably an adequate allocation to this asset class.

(Module 10.4, LOS 10.g)

Question #18 - 18 of 76

Question ID: 1674818

Based on a 9.5% return objective, the *most appropriate* revision to the Foundation's intermediate- and long-term bond allocation is:

A) lower for intermediate-term bonds, and higher for long-term bonds.

B) no change for either intermediate- or long-term bonds.

C) the same for intermediate-term bonds, and higher for long-term bonds.

Explanation

Because the time horizon is infinite, it would make sense for more of the bond allocation to be shifted from intermediate into higher-returning long-term bonds.

(Module 10.4, LOS 10.g)

Question #19 of 76

Question ID: 1674781

Which of the following entities could be subject to unrelated business income tax (UBIT)?

A) Only foundations. ✗

B) Only endowments. ✗

C) Endowments and foundations. ✓

Explanation

UBIT must be paid by both endowments and foundations if income is produced that is not substantially related to a foundation's or endowment's charitable purpose.

(Module 10.2, LOS 10.e)

Question #20 of 76

Question ID: 1674831

One difference between the asset liability management techniques between a life and property and casualty insurance company is that liability payment amounts are:

A) not known for the life insurance company. ✗

B) known for the property and casualty insurer. ✗

C) known for the life insurance company. ✓

Explanation

The liability payment amounts for the life insurance company are known, whereas they are not known for the property and casualty insurer.

(Module 10.5, LOS 10.c)

Question #21 of 76

Question ID: 1674772

Genentron is a small biotechnology firm that is developing new therapies and drugs for different types of cancer. Genentron has numerous benefits for its employees, including a defined benefit pension plan. The plan is overseen by Rolf Pyle and Shannon DeGroot, both senior executives with Genentron. Most of Genentron's employees are younger, so Pyle and DeGroot have invested the pension plan's investment portfolio aggressively. Currently, the pension portfolio allocation is 30% in the Russell 1000 Growth Index and 70% in the Commodore health care fund. Pyle and DeGroot are discussing the allocation of the plan at the most recent meeting. Pyle states, "If the health care industry leads the market again this year, it is unlikely that our pension expense will have much impact on our strong earnings, and we will be able to share more of those earnings with our shareholders." DeGroot replies, "The allocation of our pension assets should ensure that Genentron will not have to make large pension contributions, even if profitability is low."

Regarding their statements about Genentron's pension plan:

A) Pyle's statement is correct; DeGroot's statement is incorrect. ✓

B) Pyle's statement is correct; DeGroot's statement is correct. ✗

C) Pyle's statement is incorrect; DeGroot's statement is incorrect. ✗

Explanation

With 70% of Genentron's pension assets allocated to a health care fund, the correlation between the firm's pension assets and profits is likely to be strong. Pyle's statement is correct: if the health care industry has strong performance, both Genentron's profits and the performance of the pension plan are likely to be high. When a firm is generating high profits simultaneously with high returns, the probability of the firm having to make a pension contribution is low, and if a contribution is made, the amount is likely to be small.

DeGroot's statement is incorrect. Because the correlation between Genentron's operations and its pension portfolio is high, if the firm's profitability is low, the firm has a higher probability of making a large pension contribution. To avoid the problem of having to make a large contribution at a time when the ability to make contributions is low, companies should seek to have a low correlation between pension assets and firm operations.

(Module 10.2, LOS 10.e)

Question #22 of 76

Question ID: 1674820

Which of the following institutional investors would *most likely* have liquidity as a primary concern?

A) Banks. ✓

B) Endowments. ✗

C) Pension plans.

Explanation

Liquidity is a primary concern for banks to meet depositor withdrawals, the latter of which may occur on demand.

In contrast to banks, both endowments and pension plans generally have longer time horizons, which makes liquidity a somewhat lesser concern for the latter two. Furthermore, because endowments do not have predetermined liabilities (like banks or pension plans), the liquidity concern for endowments is lessened even more.

(Module 10.5, LOS 10.c)

Question #23 of 76

Question ID: 1674769

When formulating an investment policy statement for a defined benefit pension plan, legal and regulatory factors, in addition to unique circumstances, must be considered. In this regard, which of the following statements is *least accurate*?

A) In the United States, the provisions of the Employee Retirement Income Security Act (ERISA) must be adhered to, regardless of any state or local laws and regulations that govern pension investment activity.

B) The basic tenet of the Employee Retirement Income Security Act (ERISA) is that pension plans be managed with equal regard for the interests of plan sponsors and plan beneficiaries.

C) Due to either ethical or political objections, a pension plan may disallow investments in certain types of traditional or alternative asset classes.

Explanation

The fundamental standard of care required by ERISA is that pension fund assets must be invested for the sole benefit of plan participants, and not that of plan sponsors.

(Module 10.2, LOS 10.e)

Question #24 of 76

Question ID: 1674807

The Smitherson Family Foundation was created to fund causes dear to the family. An initial grant of $35 million was established in the hopes of finding deserving projects to receive funding. The foundation was established with a perpetual life, and one of its investment goals is to maintain the purchasing power of present assets. Which of the following represents a reasonable objective in the foundation's investment policy statement?

A) The perpetual life of the plan indicates a low-to-moderate risk stance. To preserve purchasing power, investment in the safest of all assets is critical. Investing in assets returning in excess of the required 5% spending requirement should be discouraged.

B) The perpetual life of the plan indicates a moderate-to-high risk tolerance. Return objectives are to meet the required 5% private foundation spending requirement in addition to covering inflation expectations. Evaluating investments from a total return perspective is warranted.

C) All family foundations must have high risk tolerance to maintain perpetual purchasing power. Return objectives should be commensurate with the risk stance and, therefore, achieving the highest growth-oriented returns is prescribed.

Explanation

The perpetual life of the Smitherson Family Foundation indicates a moderate-to-high risk tolerance. Return requirements are at least the regulatory-dictated 5% spending requirement plus inflation expectations. A total return investment objective is warranted.

(Module 10.4, LOS 10.g)

Question #25 of 76

Question ID: 1674770

The pension plan at Ferrell Manufacturing currently has a surplus. Ferrell's management team wants to maintain the level of the surplus and keep it as stable as possible. To accomplish their goal, how should they position the correlation of the pension plan's assets with the pension liabilities and the firm's operations respectively?

	Correlation of Assets With Liabilities	Correlation of Assets With Firm Operations
A)	High	High
B)	High	Low

C) Low Low

Explanation

To have a more stable pension plan surplus, the firm should construct plan liabilities and assets in such a way that changes in pension plan asset valuations are highly correlated with pension plan liabilities, but uncorrelated (low correlation) with the firm's core operations. This would ensure that pension fund assets increase in value at the same time liabilities do, keeping funding status unaffected by the firm's ability or inability to make contributions.

(Module 10.2, LOS 10.e)

Question #26 of 76

Question ID: 1674805

Which of the following statements *best* describes the tax constraints existing for endowments and life insurance companies?

A) Endowments are taxable entities, whereas life insurance companies are tax-free entities.

B) Endowments are tax-free entities, whereas life insurance companies are taxable.

C) Both entities are taxable.

Explanation

Endowments are tax-free entities, but life insurance companies are taxable.

(Module 10.4, LOS 10.d)

Question #27 - 30 of 76

Question ID: 1674794

In regard to the characteristics of institutional investors, which of the following is *most accurate*?

A) Only Statement 1 is correct.

B) Both statements are correct.

C) Only Statement 2 is correct.

Explanation

Statement 1 is correct. Compared to large institutional investors, small institutional investors may find it difficult to hire skilled human capital. Therefore, small institutional investors are more likely to outsource investments to external managers and seek the services of investment consultants.

Statement 2 is also correct. Small institutional investors may find it difficult to build diversified portfolios because the minimum investment size of certain assets may be too large for such investors. On the other hand, larger institutional investors experience scale benefits, where the minimum investment size does not pose a challenge. However, as institutional investors further grow in size, they may experience diseconomies of scale. The largest institutional investors, for instance, may find investing in certain niche positions unjustifiable, because the expected gains on relatively small investments (compared to the size of investments under management) may not be attractive after accounting for due diligence costs. Additionally, very large institutional investors may not be able to allocate their desired amount of capital to some external managers as certain investment strategies are capacity constrained. Moreover, given the size of their orders, large institutional investors need to more carefully consider the costs of market impact, potentially having to refrain from making certain investments. Both statements are correct.

(Module 10.1, LOS 10.a)

Question #28 - 30 of 76

Question ID: 1674795

In regard to the type of pension plans offered by Legrams Co. and Tilehurst, Inc., which of the following is *most likely* correct?

A) Mortality risk is pooled. ✓

B) The employer is the sole contributor to the plan. ✗

C) Investment risk is borne by the beneficiaries. ✗

Explanation

The features of a defined benefit (DB) pension plan include the following:

- Benefit payouts are legally defined and are generally a function of salary and years of service.
- Contributions are primarily made by the employer, but employees also have the option to contribute.
- Investment decisions are made by the pension fund.
- Investment risk is borne by the employer.
- *Mortality risk is pooled*. Beneficiaries who pass away early typically leave a portion of unpaid benefits in the pool, offsetting additional payments that are required by beneficiaries who outlive their life expectancy.

In the case of a DB plan, the employer bears the investment risk of failing to meet the liabilities and may be obliged to make additional contributions to address any shortfall.

In the case of a DB plan, the employer is the primary (not the sole) contributor to the plan; the employee also has the option to make contributions.

(Module 10.1, LOS 10.c)

Question #29 - 30 of 76

Question ID: 1674796

All else equal, based on **Exhibit 1: Selected Information Pertaining to Legrams Co. and Tilehurst, Inc.**, which of the following regarding the two pension funds' risk tolerance is *most likely* correct?

A) The Legrams pension fund and the Tilehurst pension fund have a similar risk tolerance. ✗

B) Compared to the Tilehurst pension fund, the Legrams pension fund has a higher risk tolerance. ✓

C) Compared to the Tilehurst pension fund, the Legrams pension fund has a lower risk tolerance. ✗

Explanation

Workforce characteristics are an essential factor that influences the risk tolerance of a defined benefit pension plan.

The younger the workforce, the greater the duration of the plan's liabilities—and the greater the plan's risk tolerance is, because there is more time to make up for poor performance of the plan's assets. Thus, the lower average employee age of Legrams (48 years) compared to that of Tilehurst (55 years) is a factor that increases the risk tolerance of the pension fund of Legrams relative to that of the Tilehurst fund.

Another factor that affects the risk tolerance of a pension fund is the ratio of active lives to retired lives. The higher the ratio, the less liquidity pressure a fund has, and the higher the fund's risk tolerance. The higher ratio of active lives to retired lives (350 / 125 = 2.8) for Legrams compared to that of Tilehurst (250 / 120 = 2.08) is therefore another factor that increases the risk tolerance of the pension fund of Legrams relative to that of the Tilehurst fund.

Compared to the Tilehurst pension fund, the Legrams pension fund has a higher risk tolerance given the lower average employee age and the higher active-lives-to-retired-lives ratio.

(Module 10.2, LOS 10.e)

Question #30 - 30 of 76

Question ID: 1674797

Based on **Exhibit 2: Alternative Asset Allocation Mix for Legrams Co.**, which of the following *most likely* meets the pension plan objectives of the Legrams investment committee?

A) Allocation A. ✗

B) Allocation C. ✓

C) Allocation B. ✗

Explanation

The investment committee set a 5% required rate of return, conditional upon alternative investments comprising at most 15% of the total asset mix.

First, determine the percentage of alternative investments in each asset allocation:

$$\text{percentage of alternative investments}_A = 5\% + 5\% + 0 = 10\% < 15\%$$

$$\text{percentage of alternative investments}_B = 10\% + 10\% + 5\% = 25\% > 15\%$$

$$\text{percentage of alternative investments}_C = 5\% + 5\% + 5\% = 15\%$$

Next, calculate the expected return of each asset allocation mix:

$$\text{expected return}_A = (0.20 \times 4.5\%) + (0.15 \times 5.5\%) + (0.35 \times 2.5\%) + (0.20 \times 3.5\%) + (0.05 \times 9.5\%) + (0.05 \times 10.5\%) + (0 \times 9.0\%) = 4.3\%$$

$$\text{expected return}_B = (0.25 \times 4.5\%) + (0.30 \times 5.5\%) + (0.10 \times 2.5\%) + (0.10 \times 3.5\%) + (0.10 \times 9.5\%) + (0.10 \times 10.5\%) + (0.05 \times 9.0\%) = 5.83\%$$

$$\text{expected return}_C = (0.25 \times 4.5\%) + (0.35 \times 5.5\%) + (0.10 \times 2.5\%) + (0.15 \times 3.5\%) + (0.05 \times 9.5\%) + (0.05 \times 10.5\%) + (0.05 \times 9.0\%) = 5.28\%$$

Therefore, Allocation C is the most appropriate because it meets the required return set by the investment committee and its percentage of alternative investments does not exceed the 15% threshold.

Allocation A is incorrect because its expected return (4.3%) is lower than the required rate of return (5%).

Allocation B is incorrect as the percentage of alternative investments in Allocation B is 25%, exceeding the 15% threshold.

(Module 10.1, LOS 10.f)

Question #31 - 34 of 76

Question ID: 1687654

Because the firm is in the position of having to administer two types of pension plans, Todd Thoms, the CFO, is reviewing the relevant management issues in preparation for a presentation to the board of directors. Which of the following issues is framed *properly* from the perspective of both Palmer Steel and its employees?

A) One shortcoming of the defined contribution (DC) plan from the perspective of Palmer Steel is that it is more costly to administer.

B) Palmer Steel should diversify the assets of *both* plans so that the correlation between those assets and the operating cash flow of the firm itself is low to improve the probability of *both* funds meeting their respective obligations.

C) One shortcoming of the defined contribution plan from the employees' perspective is that the long-term rate of return is highly uncertain and depends on investment choices made by employees.

Explanation

Defined benefit (DB) pension plans tend to be more costly for the company to administer. The company bears the investment risk in a DB plan, and employees bear the investment risk in a DC plan. The correlation between plan assets and company cash flow is an important consideration for a DB plan but not a DC plan. With a DB plan, the firm faces the potential risk that in slow economic conditions, the investment performance of the fund will be reduced, increasing the firm's funding obligation to keep the plan fully funded—at the same time as the firm's operating cash flow is reduced.

(Module 10.2, LOS 10.e)

Question #32 - 34 of 76

Question ID: 1674800

Choose the answer that *best* completes the return objective for the DB plan. The return objective is to generate total returns sufficient to meet projected pension liabilities while protecting against inflation. The effective maturity of the pension liabilities and the volatility of the firm's earnings require an emphasis on:

A) income-producing assets with a nominal return of 8% and a portfolio with a maturity of 20 years.

B) long-term capital gains to minimize taxes and a nominal after-tax return of 8% and a portfolio with a duration of 8 years.

C) income-producing assets with a nominal return of 8% and a portfolio with a duration of 8 years.

Explanation

The return requirement is the real return required on the plan assets plus the expected inflation rate: 5% + 3% = 8%. Because of the short-term nature of the liabilities, the portfolio should be managed to match the duration of the liabilities (8 years), not the expected final maturity of the last payment (20 years). Taxes are not a consideration in a pension plan.

(Module 10.3, LOS 10.g)

Question #33 - 34 of 76

Question ID: 1674801

Which of the following factors is not consistent with a low risk tolerance for the defined benefit fund?

A) Palmer Steel has a weak balance sheet.

B) Palmer Steel has volatile operating earnings.

C) The plan has a surplus.

Explanation

Overfunded pension plans can be somewhat more risk tolerant, *all else equal*, because the overfunding is a cushion against short-term fluctuations in investment returns. Both of the other choices are consistent with a lower risk tolerance.

(Module 10.3, LOS 10.g)

Question #34 - 34 of 76

Question ID: 1674802

Which of the following statements is *appropriate* to include in the defined benefit (DB) plan's investment policy statement?

A) Liquidity needs are low because of the low correlation between the fund assets and the firm's operating income.

B) The fund's primary objectives are two-fold: (1) to achieve a target return while assuming an appropriate level of risk for its beneficiaries and (2) to minimize the cash contributions of the sponsor.

C) Taxes are not a major issue for the fund because earnings are tax exempt.

Explanation

The short-term pension liabilities require significant liquidity. For DB pension plans, the *primary* objective is to achieve a target return over a specified long-term horizon while assuming a level of risk that is consistent with meeting its contractual liabilities. A *secondary* objective could be to minimize (in present value terms) the cash contributions the sponsor will be required to provide.

(Module 10.3, LOS 10.g)

Question #35 of 76

Question ID: 1674757

An investment policy statement does not provide which of the following?

A) Guaranteed investment returns.

B) Long-term investment decision-making guidelines. ✗

C) Weighting ranges for asset allocation. ✗

Explanation

An investment policy statement does not provide guaranteed investment returns.

(Module 10.1, LOS 10.d)

Question #36 of 76

Question ID: 1674782

Which of the following scenarios will result in the *lowest* volatility in the surplus of a defined benefit pension plan, while at the same time keeping funding status independent of the plan sponsor's ability to make pension contributions?

A) A high correlation between pension fund assets and pension fund liabilities, and a low correlation between pension fund assets and the pension sponsor's operating performance. ✓

B) A low correlation between pension fund assets and pension fund liabilities, and a low correlation between pension fund assets and the pension sponsor's operating performance. ✗

C) A high correlation between pension fund assets and pension fund liabilities, and a high correlation between pension fund assets and the pension sponsor's operating performance. ✗

Explanation

The likelihood of a neutral impact on a firm's earnings is increased when changes in the value of pension assets are highly correlated with pension liabilities but uncorrelated with the firm's operating performance. This ensures that funding the surplus is constant and independent of the pension sponsor's ability or inability to make contributions to the plan.

(Module 10.2, LOS 10.e)

Question #37 of 76

Question ID: 1687651

Which of the following statements would not be consistent with an investment policy statement (IPS) for a defined benefit plan?

A) Tax consequences can be ignored. ✗

B) Adequate liquidity must be maintained to meet liabilities. ✗

C) No objectives and constraints are needed. ✓

Explanation

No objectives and constraints are needed for defined contribution plans in that each employee is responsible for their investing. They are very much needed for defined benefit plans.

(Module 10.2, LOS 10.e)

Question #38 of 76

Question ID: 1687652

Which of the following statements regarding the time horizons for endowments and foundations is correct?

A) The time horizon for a foundation is longer than that for an endowment. ✗

B) The time horizon for an endowment and the time horizon for a foundation are usually infinite; hence, it will differ mainly due to specific entity considerations. ✓

C) The time horizon for an endowment is longer than that for a foundation. ✗

Explanation

Most endowments and foundations are created to perpetually fund specific operating entities (e.g., hospitals, universities, museums). Hence, their time horizons are typically infinite. Their time horizons may differ, however, due to specific considerations.

(Module 10.2, LOS 10.e)

Question #39 of 76

Question ID: 1674762

Under which circumstances would a defined benefit plan sponsor have the greatest willingness to take risk?

A) A young workforce with low vesting, no provision for lump-sum distributions, and low debt ratios of the sponsor. ✓

B) Low operating risk, a small size relative to the sponsor, and a low funded status of the plan. ✗

C) Low debt rates, older workforce, and large pension fund size. ✗

Explanation

Given the combination of a young workforce that must wait until retirement age to claim any benefits and a low debt ratio of the plan sponsor, more risk could be prudent. Low funded status, an older workforce, or large pension fund size argue against taking more risk.

(Module 10.2, LOS 10.e)

Question #40 of 76

Question ID: 1674754

Principal-agent conflicts occur when a(n):

A) owner of a company has power to demand employees or agents to conduct illegal transactions. ✗

B) principal appoints an agent to act on their behalf and the agent's interests are not aligned with the principal's interest. ✓

C) OTC market maker takes a position that is contrary to an institutional investor attempting to execute a trade. ✗

Explanation

This conflict can occur both internally and externally. The classic example is overpaying for poor performance.

(Module 10.1, LOS 10.a)

Question #41 - 44 of 76

Question ID: 1674839

Which items on Renno's balance sheet would be classified as assets?

A) Loans only. ✗

B) Both loans and debt securities. ✓

C) Debt securities only. ✗

Explanation

The largest component of bank assets is loans, typically comprising 50% or more of the total assets. The next-largest component of assets is debt securities, typically accounting for 25% or more of total assets.

(Module 10.5, LOS 10.c)

Question #42 - 44 of 76

Question ID: 1674840

Which of Scully's actions would *most likely* position Renno for many years of future success?

A) Action 1 only.

B) Action 2 only.

C) Actions 1 and 2.

Explanation

Only Action 2 would position Renno for many years of future success. Action 1 is incorrect because the allocation should be to short-maturity, not long-maturity, securities (see #3 in the following list).

The long-term horizon of the bank is evidenced by it (1) cutting back new lending, (2) selling part of its existing loan portfolio, (3) increasing allocations to short-maturity, liquid securities, and (4) decreasing leverage through fewer large wholesale time deposits.

(Module 10.5, LOS 10.c)

Question #43 - 44 of 76

Question ID: 1674841

Which of the responsibilities of the ALMCo is *most appropriate* to transfer to the investment team?

A) Establishing benchmarks.

B) Setting the IPS.

C) Monitoring performance.

Explanation

Establishing benchmarks is generally the responsibility of the investment team, not the ALMCo.

Banks establish an ALMCo that provides direction and oversight of the investment portfolio. The ALMCo has significant visibility with the bank's management and board of directors, as well as with external regulators. The ALMCo sets the investment policy statement (IPS), monitors performance on an ongoing basis, and has the ability to mandate adjustments on the asset and liability sides of the balance sheet. The ALMCo also ensures that market (interest rate and FX), credit, liquidity, and solvency (capital adequacy) risk positions are within the limits of the bank's specified risk tolerances.

Once the overall investment objectives and risk levels are set, the investment team establishes policy benchmarks.

Module 22.5 LO

(Module 10.5, LOS 10.f)

Question #44 - 44 of 76

Question ID: 1674842

Given the information regarding Renno's assets and liabilities, what would be the impact on the value of shareholder capital if there were a 75-basis-point rise in the level of yields on its asset portfolio?

A) Decrease by 15.73%.

B) Decrease by 10.78%.

C) Decrease by 11.79%.

Explanation

The modified duration of equity capital is calculated as follows:

$$D_E^* = \left(\frac{A}{E}\right)D_A^* - \left(\frac{A}{E} - 1\right)D_L^*\left(\frac{\Delta i}{\Delta y}\right)$$

Because the yields on liabilities are assumed to move only 90% as much as the yields on portfolio assets:

$$\frac{di}{dy} = \frac{\Delta i}{\Delta y} = 0.90$$

From the information provided, we calculate that if equity to assets is 8%, then the leverage multiplier M = 1 / 0.08 = 12.5x. Per the information in the question, D_A = 2.5, D_L = 1.5, and Δi / Δy = 0.90:

D_E^* = (2.5 × 12.5) − (1.5 × 11.5 × 0.90) = 15.725

Using this information, we calculate the change in equity capitalization value as follows:

0.75% × −15.725 = −11.79%.

The answer "decrease by 10.78%" is incorrect because it uses M (and not M minus 1) when multiplying D_L^* by in the second term of the equation.

The answer "decrease by 15.73%" is incorrect because it is the modified duration of equity multiplied by 1%, not 0.75%.

(Module 10.6, LOS 10.h)

Question #45 of 76

Question ID: 1674767

Pension fund risk tolerance *increases* with:

A) provisions for early retirement or lump-sum payouts.

B) a low retired lives portion. ✓

C) high plan asset and plan sponsor operating characteristic correlation. ✗

Explanation

A low number of retired lives usually indicates an increased ability to take risk. Both of the other answers work to decrease pension fund risk tolerance. Pension fund risk tolerance decreases when plan assets and plan sponsor operating characteristics have high correlation. The ability for the plan sponsor to make contributions is decreased at the most inopportune time, when plan assets and operating characteristics are highly correlated. Hence, risk tolerance decreases in a highly correlated environment. Plans that offer early retirement or lump-sum payments essentially decrease the time horizon of the retirement liability and increase the liquidity requirements of the plan, so the ability to tolerate risk is decreased.

(Module 10.2, LOS 10.e)

Question #46 of 76

Question ID: 1674763

Liquidity needs of a pension plan are:

A) greater when plan participants have the ability to switch or take early withdrawals from the plan. ✓

B) not an important factor, given the long-term nature of plan liabilities. ✗

C) substantially lower for plans with older employees and low discount rates. ✗

Explanation

The ability of plan participants to switch or take early withdrawals from the plan increases the plan's liquidity needs. Liquidity needs are high for pension plans with older workers because they will require greater cash flows to pay retirees.

(Module 10.2, LOS 10.e)

Question #47 of 76

Question ID: 1674756

In contrast with the Yale University model, the Canada Pension Plan model has:

A) internally managed assets. ✓

B) lower costs. ✗

C) a higher allocation to alternative assets. ✗

Explanation

The Canada Pension Plan model uses internally managed funds, while the Yale model outsources all strategies. Both strategies have high allocations to alternatives and have relatively high expenses.

(Module 10.1, LOS 10.b)

Question #48 of 76

Question ID: 1674804

Among sovereign wealth funds, a key difference between reserve funds and savings funds is that reserve funds must:

A) maintain a higher allocation to alternative assets to reduce volatility. ✗

B) allocate more to foreign markets, but only on a currency-hedged basis. ✗

C) maintain a lower allocation to alternative assets due to great liquidity needs. ✓

Explanation

Despite being a relatively long-term source of funds, reserve funds must maintain a higher level of liquidity than savings funds, and thus, a lower allocation toward relatively illiquid alternative funds.

(Module 10.3, LOS 10.g)

Question #49 of 76

Question ID: 1674832

The time horizon of a property and casualty insurer differs from that of a pension fund in that a non-life insurance company's time horizon:

A) is dependent on the uncertainties of policies sold, whereas the time horizon of a pension fund is a direct consequence of the business cycle. ✗

B) may be quite short and will depend upon the characteristics of policies sold, whereas a pension fund's time horizon may be much longer, depending on workforce characteristics. ✓

C) is quite long due to the uncertainty of the liability structure associated with policies sold, whereas a pension fund's time horizon will be much shorter due to the finite life of employees. ✗

Explanation

Due to the uncertainty associated with the characteristics of policies sold and when claims will be paid, the time horizon of a property and casualty insurer will necessarily be short. A pension fund, however, will have a time horizon typically longer than that of a nonlife insurance company. The pension fund's time horizon will be directly related to the plan sponsor's workforce characteristics.

(Module 10.5, LOS 10.c)

Question #50 of 76

Question ID: 1674768

Pension fund risk tolerance is *increased* by a young workforce and:

A) high plan sponsor leverage. ✗

B) low proportion of retired lives. ✓

C) high proportion of retired lives. ✗

Explanation

Pension fund risk tolerance is increased by having a young workforce and a small proportion of retired lives. Both of the other combinations with a young workforce will tend to decrease risk tolerance.

(Module 10.2, LOS 10.e)

Question #51 of 76

Question ID: 1674765

The discount rate used to determine the present value of pension liabilities is the fund's:

A) required return. ✓

B) contribution return. ✗

C) desired return. ✗

Explanation

The discount rate used to determine the present value of pension liabilities is the rate that discounts pension benefits; hence, it dictates the rate of return on pension assets that must be met to fund pension benefits. A fund's desired return, however, may be higher and could relate to the amount of contributions a firm makes to the plan and/or the amount of benefits a plan wishes to offer participants.

(Module 10.2, LOS 10.e)

Question #52 - 55 of 76

Question ID: 1674844

Which of Moore's statements regarding pension funds is *most likely* correct?

A) Statement 2.

B) Statement 1.

C) Statement 3.

Explanation

Statement 1 is correct. While the investment objective of banks and insurance companies is to maximize net present value by balancing the expected returns on assets, the expected cost of liabilities, the overall risks of assets and liabilities, and the economic relationships between and among assets and liabilities, the investment objective of a defined benefit (DB) pension fund tends to be less complicated (e.g., keeping the funded ratio above 100% to meet the distribution needs of the plan's beneficiaries).

Statement 2 is incorrect. Although a company's shareholders are stakeholders in a DB pension plan, the plan sponsor and investment staff have an obligation to make investment decisions in the best interests of current employees and retirees (not company shareholders).

Statement 3 is incorrect. Although defined contribution plan participants make investment decisions and bear investment risk, the plan sponsor still has important fiduciary duties toward the participants. The employer's responsibilities include overseeing the appropriate investment of plan assets, selecting administrative providers, offering a suitable range of investment options, and ensuring that the investment options provide appropriate levels of diversification.

(Module 10.1, LOS 10.c)

Question #53 - 55 of 76

Question ID: 1674845

Based on the characteristics of Lamentine's pension fund, which of the following investment approaches is *most likely* followed by the fund?

A) The Norway model.

B) The endowment model.

C) The Canada model.

Explanation

The investment approach adopted by Lamentine is most likely the *endowment model* because this model is characterized by a relatively high allocation to alternative investments, significant active management, and externally managed assets. This model is appropriate for institutional investors who have a high risk tolerance, a long-term investment horizon, small liquidity needs, and access to high-quality managers.

Similar to the endowment model, the Canada model's allocation to alternative investments is high. However, unlike the endowment model, the Canada model relies more on internally (not externally) managed assets.

The Norway model is characterized by mostly passively managed assets and little to no allocation to alternative investments.

(Module 10.1, LOS 10.b)

Question #54 - 55 of 76

Question ID: 1674846

Which of the amendments requested by Moore would *least likely* decrease the liabilities of Lamentine's pension plan?

A) Amendment 2.

B) Amendment 1.

C) Amendment 3.

Explanation

Defined benefit (DB) pension plan liabilities are forecasted by discounting the fund's future expected distributions to today's value. The outcome of this forecast is heavily reliant on actuarial assumptions made by analysts.

Decreasing the expected employee turnover rate means that employees are expected to stay in the company for a longer period. Generally, after serving a certain number of years, employees become eligible to receive a pension. As such, decreasing the expected employee turnover rate increases expected distributions, leading to an increase of the DB plan liabilities. Amendment 3 is correct.

Amendment 1 is incorrect. Because estimating the DB plan liabilities entails discounting future expected distributions to today's value, increasing the discount rate would decrease the plan's liabilities.

Amendment 2 is incorrect. Retirement benefits are generally a function of the final salary and years of service. Decreasing the expected salary growth of employees would translate into a lower final salary, resulting in lower expected distributions and lower plan liabilities.

(Module 10.1, LOS 10.c)

Question #55 - 55 of 76

Question ID: 1674847

Based on **Exhibit 1: Selected Financial Information Pertaining to OAL Insure**, the percentage change in the value of OAL Insure's shareholder capital following a 55-bp increase in the yields on the firm's assets is *closest* to:

A) -0.15%.

B) -2.71%.

C) -5.96%.

Explanation

The modified duration of an insurance firm's equity capital is calculated as

$$D_E^* = \frac{A}{E} D_A^* - \left(\frac{A}{E} - 1\right) D_L^* \left(\frac{\Delta i}{\Delta y}\right)$$

where D_E^* is the modified duration of equity capital; $\frac{A}{E}$ is the leverage ratio; D_A^* is the modified.

duration of assets; D_L^* is the modified duration of liabilities; and $\frac{\Delta i}{\Delta y}$ is the proportionate change in the yields on liabilities for a 100-bp increase in the yields on assets.

Because the leverage ratio is the inverse of the equity-to-capital ratio, $\frac{A}{E} = \frac{1}{0.11}$

$$D_E^* = \frac{1}{0.11} \times (2.5) - \left(\frac{1}{0.11} - 1\right) \times (2.1) \times \left(\frac{0.7\%}{1\%}\right) = 22.727 - 11.894 = 10.83.$$

Thus, the percentage change in the value of OAL Insure's shareholder capital following a 55-bp increase in the yields on assets is equal to 0.55 × (–10.83) = –5.96%. D_E^* is miscalculated as

$\frac{1}{0.11} \times (2.5) - \left(\frac{1}{0.11}\right) \times (2.1) \times \left(\frac{0.7\%}{1\%}\right) = 22.727 - 13.364 = 9.36$, resulting in the percentage change in the value of shareholder capital = 0.55 × (–9.36) = –5.15%. D_A^* and D_L^* are erroneously swapped when calculating D_E^*, resulting in

$D_E^* = \frac{1}{0.11} \times (2.1) - \left(\frac{1}{0.11} - 1\right) \times (2.5) \times \left(\frac{0.7\%}{1\%}\right) = 19.091 - 14.159 = 4.93$, and percentage change in the value of shareholder capital = 0.55 × (–4.93) = –2.71%.

(Module 10.6, LOS 10.h)

Question #56 of 76

Question ID: 1674830

External stakeholders of large, public international banks include:

A) credit rating agencies, regulators, management, and the board of directors. ✗

B) shareholders, depositors, borrowers, and creditors. ✓

C) shareholders, management, employees, and creditors. ✗

Explanation

External stakeholders include shareholders, depositors, borrowers, and creditors. Management, the board of directors, and employees are internal stakeholders.

(Module 10.5, LOS 10.c)

Question #57 - 59 of 76

Question ID: 1687648

Which of the following changes to the fund's IPS should Sargent recommend?

A) The fund's liquidity constraint should be rewritten to reflect moderate liquidity requirements consistent with the fund's low risk tolerance. ✗

B) A return objective of 10% is not consistent with a below average risk tolerance. Therefore, the fund should target a lower return objective in order to be consistent with the low risk tolerance. ✗

C) The risk tolerance for the fund should be much higher because of the long-term nature of the obligations and the need to preserve capital through equity investments to guard against inflation eroding the value of the assets. ✓

Explanation

The fund is able to take on more risk in search of higher returns than suggested in the current IPS because of the long-term horizon and low liquidity constraints. The current employees are relatively young, few retirees are making income demands on the fund, and the plan is overfunded. Therefore, the return objective and liquidity constraints are appropriate; the risk tolerance should be rewritten to be consistent. An emphasis on safety (presumably through low-risk bonds and Treasury bills) will leave the fund exposed to inflation risk in the long term.

(Module 10.2, LOS 10.e)

Question #58 - 59 of 76

Question ID: 1687649

Sargent should recommend that the allocation to the equally weighted equity portfolio be:

A) increased significantly because it has favorable risk-return characteristics relative to the other funds. ✗

B) decreased significantly because it is most likely highly correlated with the firm's operating cash flows. ✓

C) decreased significantly because it is not consistent with the fund's return objective. ✗

Explanation

With a defined benefit plan, the firm faces the potential risk that in an economic downturn, the investment performance of the fund is reduced, increasing the firm's funding obligation to keep the plan fully funded—at the same time as the firm's operating cash flow is reduced. In this case, the firm's stock returns are highly correlated with the Dow Jones Industrial Average. An equally weighted fund of 25 large industrial stocks is probably also highly correlated with the Dow. Therefore, the allocation to this fund should be decreased significantly. In fact, given that it is dominated by the DJIA index fund (lower return, same volatility), Sargent could argue that it should be replaced completely. However, Portfolios B and C are even better choices.

(Module 10.2, LOS 10.e)

Question #59 - 59 of 76

Question ID: 1687650

Sargent should recommend which of the following allocations?

	AAA Corporate Bonds	Treasury Bills	
A)	Increase	Increase	✗
B)	Decrease	Decrease	✓
C)	Increase	Decrease	✗

Explanation

The fund is in a position to take on increased risk. Sargent should recommend decreasing the allocation to bonds and increasing the exposure to small-cap U.S. equities and international equities to increase return and provide inflation protection. A significant allocation to Treasury bills is unnecessary, given the low liquidity requirements.

(Module 10.2, LOS 10.e)

Question #60 of 76

Question ID: 1674758

Which of the following statements regarding defined benefit and defined contribution pension plans is *least accurate*?

A) The risk and return of defined benefit pension fund investments is borne by the plan participants. ✓

B) Promised benefits under a defined benefit plan are paid to plan participants at retirement and represent a liability to the plan sponsor. ✗

C) The liability to a defined contribution plan sponsor is the current plan contribution requirement. ✗

Explanation

As long as a pension sponsor is solvent, the performance of the fund's investments has no impact on the benefits promised to the employees covered by the plan. The risk and return characteristics of the assets of a defined benefit pension fund are borne by the plan sponsor.

(Module 10.2, LOS 10.c)

Question #61 - 66 of 76

Question ID: 1674774

Which of the following is *least likely* to be an investment constraint for the Chapman pension fund?

A) Taxes. ✓

B) Investment horizon. ✗

C) Liquidity. ✗

Explanation

Given the tax-deferred status of pension funds, taxes are usually not an important issue. Liquidity constraints depend on the age of the workforce, and must be given consideration. A pension fund's investment horizon also depends on the age of the workforce and whether the firm is a going concern. While the workforce is mostly young, the firm does have some older workers; thus, it cannot ignore liquidity and time horizons.

(Module 10.2, LOS 10.e)

Question #62 - 66 of 76

Question ID: 1674775

Regarding the Cooper Company pension plan, Manley's *best* course of action is to:

A) lower the fund's equity allocation but not sell the Cooper stock, as such a large sale would drive the price down.

B) lower the fund's equity allocation by selling the Cooper stock.

C) increase the allocation to equities because risk diminishes over time.

Explanation

Manley's fiduciary duty is to the beneficiaries of the plan, not the company. While holding the Cooper stock may benefit the shareholders, it is unlikely to benefit the employees. The company stock provides an undiversified position that is correlated with the employees' human capital and should be sold. An equity allocation of 70% would be considered high for most pension plans (the average is around 50%), so while diversifying the bond holdings may be a good move, maintaining the equity weighting is not. Some thought could be given to the fact that the plan is underfunded, and that the plan needs growth. In this situation, the plan also needs to protect the existing assets from too much risk so that the underfunding situation is not exacerbated. In this case, reducing the equity weight to an average level and increasing contributions would be the best course of action.

(Module 10.2, LOS 10.e)

Question #63 - 66 of 76

Question ID: 1674776

Which of the following is the *best* justification for Crandall Company's futures policy?

A) Futures are used mainly for speculative purposes.

B) The use of futures is inconsistent with the prudent expert rule of ERISA.

C) Futures are used to manage short-term risks, and the fund should be concerned with long-term risks.

Explanation

Most futures transactions are used to manage short-term risks, and those transactions might not impact long-term risks. Futures are often used to hedge equity holdings, and nothing in the prudent expert rule would prohibit their use under the proper circumstances. The fund's bond holdings are irrelevant, as long as there are equity holdings for which futures could be used to hedge risk.

(Module 10.2, LOS 10.e)

Question #64 - 66 of 76

Question ID: 1674777

Which of Manley's statements regarding defined contribution plans is *least accurate*?

A) Benefits are based on formulas relating to employee earnings or length of service. ✓

B) The employer has no financial obligation beyond making contributions to the plan. ✗

C) The employee makes regular contributions to the fund. ✗

Explanation

In a defined contribution plan, the employee typically makes regular contributions to a fund that the company matches according to some formula, such as a percentage of current pay. The employee bears all of the investment risk in a defined contribution plan, and the employer has no financial obligation beyond making regular contributions on behalf of qualifying employees.

(Module 10.2, LOS 10.e)

Question #65 - 66 of 76

Question ID: 1674778

Regarding its asset classes, the *best* course of action for Brooke and Associates is to:

A) separate both venture capital and international stocks as unique asset classes. ✓

B) separate venture capital as a unique asset class, but leave international stocks in the large-company stock class. ✗

C) separate international stocks as a unique asset class, but leave venture capital in the small-company stock class. ✗

Explanation

It is easier to optimize portfolios using asset classes with different risk characteristics and low correlation with other asset classes. None of the answers are wrong, but separating international stocks and venture capital into their own classes allows for the most precise optimization.

(Module 10.2, LOS 10.e)

Question #66 - 66 of 76

Question ID: 1674779

Which of the following represents the *most appropriate* asset allocation for Chapman's pension fund?

A) 40% investment-grade bonds, 30% small-cap stocks, 20% large-cap stocks, and 10% venture capital. ✓

B) 60% large-cap stocks, 30% small-cap stocks, and 10% foreign stocks.

C) 40% large-cap stocks, 30% high-yield bonds, 20% investment-grade bonds, and 10% real estate.

Explanation

No matter how young the workforce, an all-equity investment mix is inappropriate for a pension fund, which is always going to have at least a slight need for liquidity (particularly when the chairman and his lieutenants retire); it must be managed in such a way as to reduce risk. The mix of large-cap stocks and investment-grade and high-yield bonds is attractive, but most of Chapman's employees are both young and well paid, suggesting they have a high risk tolerance as well as low liquidity demands. The best option is the mix of investment-grade bonds, small-cap and large-cap stocks, and venture capital—the portfolio that probably offers the highest total return. There is nothing wrong with taking some risks in a pension plan, as long as those risks are well considered and suitable given the characteristics of the workforce.

(Module 10.2, LOS 10.e)

Question #67 of 76

Question ID: 1674783

Which of the following statements about defined contribution investment policy statements (IPSs) is *least accurate*?

A) IPSs for defined benefit and defined contribution plans are similar in nature.

B) Plan sponsors should provide education about investing plan funds.

C) Procedures are established to ensure that a myriad of individual investor objectives and constraints can be handled.

Explanation

Defined contribution plans call for quite a different IPS than do defined benefit plans.

(Module 10.2, LOS 10.e)

Question #68 of 76

Question ID: 1674819

A life insurance company's liquidity requirement differs from a non-life insurance company's requirement in that a life insurance company's liability structure is uncertain in its:

A) timing and amount, while a non-life insurance company's liability structure is also uncertain in its amount and timing.

B) timing, while a non-life insurance company's liability structure is uncertain in both its amount and timing.

C) amount, while a non-life insurance company's liability structure is uncertain in both its amount and timing.

Explanation

Life insurance companies have liability structures that are uncertain in timing but not amount. Non-life insurance companies have liability structures that are uncertain in both amount and timing.

(Module 10.4, LOS 10.g)

Question #69 of 76

Question ID: 1687645

A defined contribution plan differs from a defined benefit plan in that the:

A) investment decisions are made by the plan sponsor.

B) risk/return tradeoffs of plan assets accrue to the participant.

C) risk/return tradeoffs of plan assets accrue to the plan sponsor.

Explanation

All investment decisions of defined contribution assets are made by the participant, which dictates to whom plan asset risk/return tradeoffs accrue—the participant. The benefit paid is determined by the value of the investment assets at retirement. The only requirement of the plan sponsor is the stated contribution made to the participant's account.

(Module 10.2, LOS 10.e)

Question #70 of 76

Question ID: 1674803

The type of sovereign wealth fund (SWF) with the shortest investment horizon is:

A) development funds.

B) budget stabilization funds.

C) reserve funds.

Explanation

Budget stabilization funds have short time horizons because they are frequently required to distribute cash. Development and reserve funds have longer time horizons.

(Module 10.3, LOS 10.c)

Question #71 - 75 of 76

Question ID: 1674809

The *most appropriate* return objective for the Carraway Fund is *closest* to which of the following?

A) 5.2%.

B) 8.2%.

C) 8.7%.

Explanation

The return objective for the Carraway Fund is the new spending rate (5.2%) plus the expected annual inflation rate (3.0%), or 5.2 + 3.0 = 8.2%. It is also appropriate to compute the return objective as follows:

$$(1 + \text{spending rate})(1 + \text{inflation}) - 1 = (1.052)(1.03) - 1 = 8.36\%$$

(Module 10.4, LOS 10.g)

Question #72 - 75 of 76

Question ID: 1674810

Which of the following *most appropriately* addresses the Carraway Fund's allocation to cash?

A) Endowment funds typically have low liquidity needs. Therefore, a 2.0% allocation to cash is excessive.

B) Endowment funds typically have low liquidity needs. Therefore, a 2.0% allocation to cash should be sufficient to cover operating expenses.

C) Endowment funds often have high liquidity needs. Therefore, a 10% allocation to cash may be necessary to cover operating expenses and unexpected liquidity needs.

Explanation

Endowment funds typically have low liquidity needs, consisting primarily of normal operating expenses. Gifts, investment yields, security sales, and maturing bonds are usually adequate to cover these needs. As such, endowment funds are well poised to hold illiquid investments.

(Module 10.4, LOS 10.g)

Question #73 - 75 of 76

Question ID: 1674811

Which of the following *most appropriately* addresses the Carraway Fund's allocation to U.S. equities?

A) The fund's allocation to U.S. equities is too high. A 35%–40% allocation to U.S. equities is more appropriate. ✗

B) The fund's allocation to U.S. equities is appropriate. ✗

C) The fund's allocation to U.S. equities is too high. A 50%–55% allocation to U.S. equities is more appropriate. ✓

Explanation

A total allocation to equities of about 65% is necessary to meet the fund's return objective. Given this total equity allocation, and the desire to be as diversified as possible, the fund should allocate slightly less to U.S. equities and more to international equities. However, care has to be taken to ensure that the higher allocation to international equities is not excessive, given that the expected return is slightly lower than that of U.S. equities. Assuming midpoint values within the range, the reduction of U.S. equities to about 52.5% and increase of international equities to about 12.5% seems reasonable. However, the reduction of U.S. equities to about 37.5% and increase of international equities to about 27.5% seems excessive, given the lower expected return from international equities. That makes the other answer choice less appropriate.

The high allocation to equity in general is supported by the long-time horizon of endowment funds and the endowment funds' ability to accept risk.

(Module 10.4, LOS 10.g)

Question #74 - 75 of 76

Question ID: 1674812

Which of the following *most appropriately* addresses the fund's allocation to international bonds?

A) The Carraway Fund's allocation to international bonds is appropriate. There is no reason to include an allocation to international bonds. ✗

B) The Carraway Fund's allocation to international bonds is too low. A 25%–30% allocation to international bonds is more appropriate. ✗

C) The Carraway Fund's allocation to international bonds is too low. A 10%–15% allocation to international bonds is more appropriate. ✓

Explanation

Assuming an approximate 35% total allocation to fixed-income investments, and the desire to be as diversified as possible without sacrificing return, the fund should divide this allocation between U.S. and international bonds. The increased allocation to international bonds is also supported by the following:

1. The higher yield
2. The endowment needing non-U.S.-dollar-denominated currency to fund the newly established non-U.S. operations.

(Module 10.4, LOS 10.g)

Question #75 - 75 of 76

Question ID: 1674813

Which of the following *most appropriately* addresses the funds allocation to U.S. bonds?

A) The Carraway Fund's allocation to U.S. bonds is too low. A 70% allocation to U.S. bonds is more appropriate. ✗

B) The Carraway Fund's allocation to U.S. bonds is appropriate. ✗

C) The Carraway Fund's allocation to U.S. bonds is too high. A 20%–25% allocation to U.S. bonds is more appropriate. ✓

Explanation

Assuming an approximate 35% total allocation to fixed-income investments, and the desire to be as diversified as possible without sacrificing return, the fund should divide this allocation between U.S. and international bonds, with a bias toward U.S. bonds.

(Module 10.4, LOS 10.g)

Question #76 of 76

Question ID: 1687646

Which of the following is a characteristic of a defined benefit pension plan?

A) Plan sponsors bear all investment risk. They are liable for shortages and have a claim against excess returns. ✓

B) Defined benefit plans are less expensive to administer, and young employees like the portable nature of their contributions.

C) Contributions to the plan are typically a percentage of plan participants' current pay.

Explanation

Retirement benefits from a defined benefit plan are based on a "defined benefit" formula. This is what the company owes the plan's participants, regardless of the performance of the pension funds' assets, and if the fund's returns fall short of the pension obligations, the plan sponsor is liable for the difference. Defined benefit plans are costlier and riskier than defined contribution plans. Thus, defined contribution plans are the preferred pension plan for most employers. Also, because plan contributions are transferable to other plans, defined contribution plans are attractive to many young employees.

(Module 10.2, LOS 10.e)